

GNIOT Institute of Management Studies – PGDM (Batch 2025-27)**(TRIMESTER –I) END TERM EXAMINATION, OCTOBER -2025****Economics for Managers****[Time: 2 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: - Economics for Managers**

CO	Course Outcome (CO)
CO1	Basic concepts and principles of Managerial Economics for making informed decisions
CO2	It helps to make informed business decisions and develop effective market strategies.
CO3	To be equipped with analytical tools and framework to make decisions in complex and challenging business environments regarding cost and production.

*(Note- Faculty can add the more CO's as per their subject.)***SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 150- 200 words)**

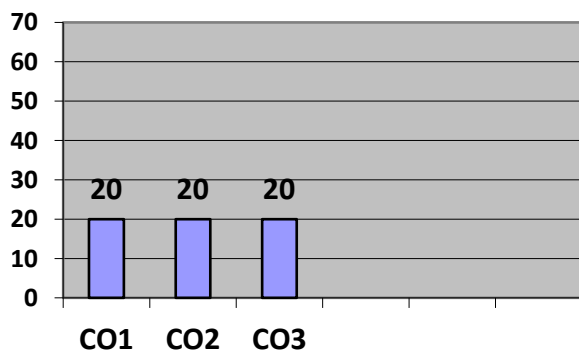
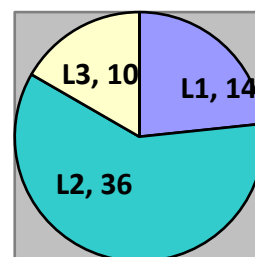
Q.1	Marks	COURSE OUTCOME	BLOOMS LEVEL
(A)	4	CO - 1	BL- 2
(B)	4	CO – 1	BL-2
(C)	4	CO – 1	BL-2
(D)	4	CO – 1	BL-2
(E)	4	CO – 1	BL-1

SECTION-B**Attempt ANY TWO questions out of the following: (Long Answer Type Questions, do not exceed 300- 400 words)**

Q. No	Marks	COURSE OUTCOME	BLOOMS LEVEL
2 (A)	10	CO – 2	BL- 1
2 (B)	10	CO – 2	BL-1
3 (A)	10	CO – 2	BL-2
3 (B)	10	CO – 2	BL-2

SECTION-C**Attempt all parts of the following: (Caselet / Numerical, do not exceed 300- 400 words)**

Q.4	Marks	COURSE OUTCOME	BLOOMS LEVEL
4 (A)	10	CO – 3	BL-3
4 (B)	10	CO – 3	BL-2

Course Outcome Wise Marks Distribution**L1 L2 L3****Bloom's Level wise Marks Distribution**

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GNIOT Institute of Management Studies – PGDM (Batch 2025-27)

(TRIMESTER –I) END TERM EXAMINATION, OCTOBER - 2025

Economics for Managers

[Time: 2 Hours]

[Maximum Marks: 60]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- (a) Explain the law of variable proportions.
- (b) Compare between microeconomics and macroeconomics.
- (c) Explain any four techniques of demand forecasting for customer.
- (d) Explain different types of demand.
- (e) How the Elasticity of demand help in business decision making.

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(2X10=20)

- (a) Suppose that in a year the excise duty on product X is doubled and as a result the total revenue from the excise duty decreases. What will be the price elasticity of the demand of product X?

OR

- (b) Studies in India indicate that the price elasticity of demand for product X is 0.4. If a pack of product X cost Rs.2 and the government wants to reduce smoking by 20 percent. What should be the increased the price?

Q.3. (a) Explain the concept of Indifference curve and explain why indifference curve has (i) negative slope (ii) do not intersect each other (iii) are convex to the origin.

OR

- (b) Explain the concept of business cycles and elaborate the Keynesian explanation for the business cycle movements.

SECTION-C

Orion Motors Pvt. Ltd. was established in 2010 in Pune, India, as a mid-sized automobile manufacturer specializing in affordable compact cars for urban families. The company initially focused on producing fuel-efficient hatchbacks, gradually expanding into sedans and compact SUVs.

Over the years, Orion Motors built a reputation for:

- Affordable pricing compared to global brands.
- Locally optimized features such as higher ground clearance, strong AC systems, and mileage efficiency.
- Widespread dealer network in Tier-2 and Tier-3 cities.

In 2022, with rising competition from electric vehicles (EVs) and increasing fuel prices, Orion Motors faced fluctuating demand for its traditional fuel-based compact cars. To make informed production and pricing decisions, the management decided to adopt econometric demand forecasting methods.

The management of Orion Motors is struggling with volatility in the domestic car market. For effective inventory planning, production scheduling, and pricing, the firm wishes to forecast monthly demand using a simple econometric model.

To achieve this, they have collected 12 months of historical data which is as follows

<i>Month</i>	<i>Quantity Q (units)</i>
<i>Jan</i>	<i>420</i>
<i>Feb</i>	<i>450</i>
<i>Mar</i>	<i>480</i>
<i>Apr</i>	<i>470</i>
<i>May</i>	<i>490</i>
<i>Jun</i>	<i>510</i>
<i>Jul</i>	<i>520</i>
<i>Aug</i>	<i>530</i>
<i>Sep</i>	<i>510</i>
<i>Oct</i>	<i>500</i>
<i>Nov</i>	<i>480</i>
<i>Dec</i>	<i>470</i>

Q.4. Attempt all parts of the following:

(2×10=20)

4(a) Identify the demand forecast for the Orion Motors Pvt. Ltd. For coming three months

4(b) Based on the above case, Show that company belongs to which type of market how a firm attain equilibrium in that type of market?